Business Environment & Ethics - Set 10

50 MCQs - 1 mark each - answers and explanations are at the end

> Choose the single best option. Do not look at the last pages until you finish.

> **Case:** Advertising and Local Values: A liquor brand plans a large advertisement along a route used for a temple festival in a conservative town. Local leaders, parents and traders object, saying it offends community values. The company's ethics committee is asked to advise.

1. The groups objecting in this case are best described as the company's:
- A. Competitors
- B. Suppliers
- C. Auditors
- D. Stakeholders

2. Auditor independence is essential to ensure
- A. Higher audit fees
- B. Objectivity and credibility of the audit
- C. Lower taxes
- D. Faster closing of books

3. Rainwater harvesting in a factory campus is an example of
- A. Energy theft
- B. Water conservation
- C. Waste generation
- D. Air pollution

4. Which of the following is a major demerit of socialism?
- A. Exploitation by private monopolists
- B. Rising income inequality
- C. Red tape and lack of incentive to work hard
- D. Excess consumer choice

5. Contracting a business activity to an outside firm, often in another country, is called
- A. Disinvestment
- B. Nationalisation
- C. Dumping
- D. Outsourcing

6. The Companies Act, 2013 prescribes a Code for Independent Directors in
- A. Schedule VII
- B. Schedule IV
- C. Schedule II
- D. Schedule I

7. Migration of highly skilled professionals to other countries is known as
- A. Capital flight
- B. Outsourcing
- C. Brain drain
- D. Dumping

8. An unfair trade practice includes
- A. Honest labelling
- B. Fair pricing
- C. False representation that goods are of a particular standard or quality
- D. Genuine warranty

9. The Second Five Year Plan, based on the Mahalanobis model, emphasised
- A. Agriculture alone
- B. Services

C. Heavy and basic industries
D. Consumer goods exports

> **Case:** Response to an Economic Slowdown: During a slowdown, the government raises spending on roads and cuts income tax. At the same time, the central bank reduces the repo rate and the Cash Reserve Ratio. Analysts say borrowing will become cheaper, but warn that if demand overshoots supply, prices could rise.

10. Reducing the repo rate and Cash Reserve Ratio are measures of:
A. Monetary policy
B. Fiscal policy
C. Disinvestment policy
D. Labour policy

11. Which of the following is an eligible CSR activity under Schedule VII?
A. Eradicating hunger, poverty and malnutrition
B. Donation to a political party
C. Payment of employee bonus
D. Advertising the company's brand

> **Case:** MediCare Hospitals: MediCare Hospitals, a chain in Kerala, is planning expansion. The state government has launched a health insurance scheme for low-income families. The share of elderly people in the population is rising. Telemedicine technology now allows remote consultations. A new law also requires hospitals to protect the privacy of patient data.

12. The availability of telemedicine is a:
A. Technological factor
B. Social factor
C. Legal factor
D. Economic factor

13. Which of the following is an example of an internal strength?
A. Entry of a new competitor
B. A recession
C. A highly skilled R&D team
D. A new tax on the product

> **Case:** SunVolt Energy: SunVolt Energy plans to sell rooftop solar systems in India. It notes that the government offers a subsidy for rooftop solar, bank interest rates are falling so loans are cheaper, battery technology has become much cheaper, and net-metering regulations now allow households to sell extra power to the grid.

14. The government's subsidy for rooftop solar is mainly a:
A. Social factor
B. Technological factor
C. Political factor
D. Environmental factor

15. The UN Global Compact, launched in 2000, asks companies to follow ___ principles on human rights, labour, environment and anti-corruption.
A. Five
B. Seven
C. Twelve
D. Ten

16. Which of the following is a major demerit of capitalism?
A. Absence of private property
B. Growing inequality of income and wealth
C. Complete state control
D. Lack of consumer choice

17. Which of the following is NOT part of the LPG reforms?
A. Liberalisation
B. Privatisation
C. Globalisation
D. Nationalisation of banks

> **Case:** Coastal Cements and the Fishing Village: Coastal Cements built a plant near a fishing village. The company trains

local youth in technical skills, funds a primary health centre and publishes an annual social audit of its impact on the community. Villagers now support the plant, and its leaders say this goodwill has helped the plant run smoothly.

18. Publishing an annual social audit demonstrates:

A. Transparency about social performance
B. Greenwashing
C. Secrecy
D. Cost cutting

Case: StreamNow, an OTT Platform: StreamNow is an online video streaming platform. New start-ups can enter the market with little capital. Viewers can also watch free videos on other websites or use cable TV. Film and series producers demand very high licensing fees for popular content, and subscribers can cancel and switch to another platform at any time.

19. Free video websites and cable TV represent:

A. Threat of substitutes
B. Threat of new entrants
C. Bargaining power of buyers
D. Government regulation

20. After 1991, the share of agriculture in India's GDP

A. Increased sharply
B. Remained at 80%
C. Became zero
D. Declined steadily

21. A written assurance by the seller to repair or replace a defective product within a period is a

A. Discount
B. Warranty
C. Commission
D. Subsidy

22. Which of the following is a public sector undertaking?

A. Infosys
B. Tata Steel
C. Oil and Natural Gas Corporation
D. Reliance Industries

23. The devaluation of the rupee in July 1991 was mainly meant to

A. Increase imports
B. Boost exports and ease the balance of payments problem
C. Reduce foreign investment
D. Control inflation

Case: Nova Beverages: Nova Beverages prepared two reports. Report 1 covers changes in excise tax rates, a shift in the age profile of consumers, new bottling technology and stricter rules on plastic waste. Report 2 lists the brand's strong recognition and its weak distribution network in rural areas.

24. The weak rural distribution network in Report 2 is a:

A. Weakness (an internal factor in SWOT)
B. Threat (an external factor)
C. Political factor
D. Technological factor

Case: Priya's Appeal: Priya files a complaint about a faulty washing machine, but the District Commission rules against her. She believes the decision is wrong and wants to appeal. She also learns that disputes can sometimes be settled through mediation instead of a long hearing.

25. A complaint should generally be filed within what period from the date the cause of action arises?

A. One month
B. Six months
C. Five years
D. Two years

Case: AgriMart Online: AgriMart, an online platform selling seeds and fertilisers to farmers, is preparing its annual plan. The government has suddenly banned the export of onions, which has hit farm incomes. At the same time, smartphone use in villages has grown rapidly. The management uses a PESTLE chart to organise these external developments but admits that

> the chart must be refreshed regularly.

26. The tool AgriMart uses to organise external developments is:
- A. Break-even analysis
- B. Ratio analysis
- C. Job analysis
- D. PESTLE analysis

27. Which of the following belongs to the micro environment of a business?
- A. Inflation
- B. Foreign exchange policy
- C. Culture of society
- D. Customers

28. Many firms shifting to solar energy are mainly responding to
- A. Environmental concerns and cost saving
- B. Demographic changes
- C. Exchange rate changes
- D. Trade cycles

29. Filing correct tax returns reflects
- A. Tax avoidance
- B. Tax evasion
- C. Loss of profit
- D. Integrity towards the government

30. Virtue ethics, associated with Aristotle, focuses on
- A. Consequences only
- B. Character and moral virtues
- C. Rules only
- D. Profits

> **Case:** Meridian Infotech: A Fraud Revealed: The chairman of Meridian Infotech admits that for years the company's profits were inflated and bank balances were falsified in its accounts. The case resembles the Satyam scandal of 2009. Investors lose heavily, and regulators tighten rules on boards and auditors.

31. Which ethical principles were most directly violated?
- A. Environmental sustainability
- B. Community engagement
- C. Consumer education
- D. Honesty and transparency

32. Paying suppliers on agreed terms and on time reflects
- A. Integrity in business dealings
- B. Tax evasion
- C. Price cutting
- D. Poor cash management

33. In a traditional economy, economic decisions are guided mainly by
- A. Customs and traditions
- B. Market prices
- C. Central planning
- D. Foreign trade

> **Case:** Zenith Software: Pay Gap: At Zenith Software, women are paid less than men for the same role and experience. A woman engineer complains to HR. An ethics review finds that the pay policy has no clear rules and that managers set salaries at their discretion.

34. The best remedy suggested by the review would be:
- A. Hiding salary data
- B. Dismissing the complainant
- C. Ignoring the complaint
- D. A transparent pay policy and revision of salaries

35. Minority shareholders should be treated
A. As having no rights
B. Worse than majority shareholders
C. As employees
D. Equitably along with majority shareholders

36. Online shopping platforms in India are governed by the
A. Factories Act
B. Sale of Goods Act
C. Consumer Protection (E-Commerce) Rules, 2020
D. Payment of Wages Act

> **Case:** TechNova Industrial Park: A state government sets up an industrial park offering land at subsidised rates, assured power supply and a five-year tax holiday to new firms. It also enforces strict pollution norms on all units in the park. The park's water supply is run by a state-owned corporation, while most factories are privately owned.

37. Offering subsidised land and a tax holiday reflects the government's role as a:
A. Regulator
B. Promoter
C. Auditor
D. Consumer only

38. Climate, natural resources and pollution come under the
A. Economic environment
B. Legal environment
C. Natural environment
D. Cultural environment

39. The Chipko movement was associated with
A. Water rights
B. Wildlife poaching
C. An industrial strike
D. Protection of trees and forests

40. The right to choose means
A. Forced buying of one brand
B. Only government products
C. Access to a variety of goods and services at competitive prices
D. No competition

41. J&J's 1982 recall of Tylenol after tampering deaths is a classic example of
A. Ignoring public safety
B. Price cutting
C. Tax avoidance
D. Putting ethical values above short-term profit

42. Which of the following is NOT a feature of business environment?
A. It is static and never changes
B. It is complex
C. It is dynamic
D. It is relative

43. In SWOT analysis, the letter 'O' stands for
A. Objectives
B. Operations
C. Outputs
D. Opportunities

44. Which of the following is a political factor?
A. Inflation
B. Fashion trends
C. Automation
D. Political stability and foreign policy

> **Case:** Foreign Capital and the Law: A foreign carmaker sets up a plant in India. In 1991 the government had allowed automatic approval for foreign equity up to 51 per cent in 34 high-priority industries. Later, the strict Foreign Exchange Regulation Act, 1973 (FERA) was replaced by a more liberal law aimed at facilitating external trade and payments.

45. FEMA, compared with FERA, is:

A. More liberal and aimed at facilitating external trade and payments
B. More restrictive
C. Only about domestic taxes
D. A labour law

46. The slow growth rate of about 3.5% in India before the 1980s is popularly called the

A. Golden rate of growth
B. Solow rate
C. Planning rate
D. Hindu rate of growth

> **Case:** Ravi and the Licence Raj: Before 1991, Ravi wanted to start a factory but had to obtain several government licences, and large firms faced limits on expansion under the MRTP Act, 1969. After 1991, licensing was abolished for most industries, and the MRTP Act was later replaced by a new law to promote competition.

47. The New Industrial Policy of 1991:

A. Imposed licensing on all industries
B. Abolished industrial licensing for most industries
C. Banned foreign investment
D. Nationalised all banks

48. The CSR Committee of the Board must have at least

A. Five directors
B. Seven directors
C. Three directors
D. Two directors

49. Equity differs from equality in that equity means

A. Giving everyone exactly the same
B. Giving each what is fair according to need or contribution
C. Charging a uniform price
D. Maximising profits

50. Hoarding and black marketing of essential goods is regulated in India by the

A. Companies Act, 2013
B. FEMA, 1999
C. Factories Act, 1948
D. Essential Commodities Act, 1955

Answer key - Set 10

1. **D**	11. **A**	21. **B**	31. **D**	41. **D**
2. **B**	12. **A**	22. **C**	32. **A**	42. **A**
3. **B**	13. **C**	23. **B**	33. **A**	43. **D**
4. **C**	14. **C**	24. **A**	34. **D**	44. **D**
5. **D**	15. **D**	25. **D**	35. **D**	45. **A**
6. **B**	16. **B**	26. **D**	36. **C**	46. **D**
7. **C**	17. **D**	27. **D**	37. **B**	47. **B**
8. **C**	18. **A**	28. **A**	38. **C**	48. **C**
9. **C**	19. **A**	29. **D**	39. **D**	49. **B**
10. **A**	20. **D**	30. **B**	40. **C**	50. **D**

Answers with explanations

1. The groups objecting in this case are best described as the company's:

Answer: D. Stakeholders

Why correct: Leaders, parents and traders affected by the company are stakeholders.

A is wrong: They are not competitors.

B is wrong: They are not suppliers.

C is wrong: They are not auditors.

2. Auditor independence is essential to ensure

Answer: B. Objectivity and credibility of the audit

Why correct: Independence ensures the audit is objective and credible.

A is wrong: Fees are unrelated.

C is wrong: Tax is unrelated.

D is wrong: Speed is unrelated.

3. Rainwater harvesting in a factory campus is an example of

Answer: B. Water conservation

Why correct: Rainwater harvesting saves and reuses water: water conservation.

A is wrong: It is not energy theft.

C is wrong: It does not generate waste.

D is wrong: It does not pollute air.

4. Which of the following is a major demerit of socialism?

Answer: C. Red tape and lack of incentive to work hard

Why correct: Socialism suffers from red tape and weak work incentives.

A is wrong: Exploitation by monopolists is a capitalist demerit.

B is wrong: Inequality is a capitalist demerit.

D is wrong: Limited choice, not excess, is the socialist problem.

5. Contracting a business activity to an outside firm, often in another country, is called

Answer: D. Outsourcing

Why correct: Contracting work to an outside firm, often abroad, is outsourcing.

A is wrong: Disinvestment is selling stake.

B is wrong: Nationalisation is state takeover.

C is wrong: Dumping is selling below cost.

6. The Companies Act, 2013 prescribes a Code for Independent Directors in

Answer: B. Schedule IV

Why correct: The Code for Independent Directors is in Schedule IV.

A is wrong: Schedule VII lists CSR activities.

C is wrong: Schedule II covers depreciation.

D is wrong: Schedule I is not it.

7. Migration of highly skilled professionals to other countries is known as

Answer: C. Brain drain

Why correct: Emigration of skilled professionals is brain drain.

A is wrong: Capital flight is money leaving.

B is wrong: Outsourcing is contracting out.

D is wrong: Dumping is selling below cost.

8. An unfair trade practice includes

Answer: C. False representation that goods are of a particular standard or quality

Why correct: A false claim about quality or standard is an unfair trade practice.

A is wrong: Honest labelling is fair.

B is wrong: Fair pricing is fair.

D is wrong: A genuine warranty is fair.

9. The Second Five Year Plan, based on the Mahalanobis model, emphasised

Answer: C. Heavy and basic industries

Why correct: The Second Plan (Mahalanobis model) stressed heavy and basic industries.

A is wrong: Agriculture alone was the First Plan.

B is wrong: Services were not the focus.

D is wrong: Consumer goods exports were not the focus.

10. Reducing the repo rate and Cash Reserve Ratio are measures of:

Answer: A. Monetary policy

Why correct: Repo rate and CRR are monetary policy tools.

B is wrong: Fiscal uses tax and spending.

C is wrong: Disinvestment sells stakes.

D is wrong: Labour policy is about workers.

11. Which of the following is an eligible CSR activity under Schedule VII?

Answer: A. Eradicating hunger, poverty and malnutrition

Why correct: Eradicating hunger, poverty and malnutrition is a Schedule VII activity.

B is wrong: Political donations are not allowed.

C is wrong: Employee bonus is not CSR.

D is wrong: Brand advertising is not CSR.

12. The availability of telemedicine is a:

Answer: A. Technological factor

Why correct: Telemedicine is a technological factor.

B is wrong: It is not social.

C is wrong: It is not legal.

D is wrong: It is not economic.

13. Which of the following is an example of an internal strength?

Answer: C. A highly skilled R&D team

Why correct: A skilled R&D team is an internal strength.

A is wrong: A new competitor is an external threat.

B is wrong: A recession is an external threat.

D is wrong: A new tax is an external threat.

14. The government's subsidy for rooftop solar is mainly a:

Answer: C. Political factor

Why correct: A government subsidy is a political (policy) factor.

A is wrong: It is not social.

B is wrong: It is not technological.

D is wrong: It is not environmental.

15. The UN Global Compact, launched in 2000, asks companies to follow ___ principles on human rights, labour, environment and anti-corruption.

Answer: D. Ten

Why correct: The UN Global Compact has ten principles.

A is wrong: Five is wrong.

B is wrong: Seven is wrong.

C is wrong: Twelve is wrong.

16. Which of the following is a major demerit of capitalism?

Answer: B. Growing inequality of income and wealth

Why correct: Capitalism tends to widen income and wealth inequality.

A is wrong: Private property is present in capitalism.

C is wrong: State control is socialist.

D is wrong: Capitalism offers wide consumer choice.

17. Which of the following is NOT part of the LPG reforms?

Answer: D. Nationalisation of banks

Why correct: Nationalisation of banks (1969) is not part of the LPG reforms.

A is wrong: Liberalisation is the L.

B is wrong: Privatisation is the P.

C is wrong: Globalisation is the G.

18. Publishing an annual social audit demonstrates:

Answer: A. Transparency about social performance

Why correct: A published social audit shows transparency about social performance.

B is wrong: Greenwashing is misleading claims.

C is wrong: It is not secrecy.

D is wrong: It is not cost cutting.

19. Free video websites and cable TV represent:

Answer: A. Threat of substitutes

Why correct: Free video sites and cable TV are substitutes.

B is wrong: They are not new entrants.

C is wrong: They are not buyers.

D is wrong: They are not government regulation.

20. After 1991, the share of agriculture in India's GDP

Answer: D. Declined steadily

Why correct: As industry and services grew, agriculture's share of GDP declined steadily.

A is wrong: It did not rise sharply.

B is wrong: 80% was never its GDP share.

C is wrong: It did not become zero.

21. A written assurance by the seller to repair or replace a defective product within a period is a

Answer: B. Warranty

Why correct: A seller's promise to repair or replace within a period is a warranty.

A is wrong: A discount cuts price.

C is wrong: Commission pays an agent.

D is wrong: A subsidy is government aid.

22. Which of the following is a public sector undertaking?

Answer: C. Oil and Natural Gas Corporation

Why correct: ONGC is government-owned, so a public sector undertaking.

A is wrong: Infosys is private.

B is wrong: Tata Steel is private.

D is wrong: Reliance is private.

23. The devaluation of the rupee in July 1991 was mainly meant to

Answer: B. Boost exports and ease the balance of payments problem

Why correct: Devaluation made exports cheaper and eased the BoP crisis.

A is wrong: It did not aim to increase imports.

C is wrong: It did not reduce foreign investment.

D is wrong: Inflation control was not the aim.

24. The weak rural distribution network in Report 2 is a:

Answer: A. Weakness (an internal factor in SWOT)

Why correct: A weak distribution network is an internal weakness in SWOT.

B is wrong: Threats are external.

C is wrong: It is not political.

D is wrong: It is not technological.

25. A complaint should generally be filed within what period from the date the cause of action arises?

Answer: D. Two years

Why correct: A complaint should normally be filed within two years.

A is wrong: One month is too short.

B is wrong: Six months is too short.

C is wrong: Five years is too long.

26. The tool AgriMart uses to organise external developments is:

Answer: D. PESTLE analysis

Why correct: PESTLE organises external developments.

A is wrong: Break-even is a cost tool.

B is wrong: Ratio analysis uses financial ratios.

C is wrong: Job analysis studies jobs.

27. Which of the following belongs to the micro environment of a business?

Answer: D. Customers

Why correct: Customers directly deal with the firm, so they are micro environment.

A is wrong: Inflation is macro.

B is wrong: Foreign exchange policy is macro.

C is wrong: Culture of society is macro.

28. Many firms shifting to solar energy are mainly responding to

Answer: A. Environmental concerns and cost saving

Why correct: Solar shifts respond to environmental concern and cheaper energy.

B is wrong: Demographics are unrelated.

C is wrong: Exchange rates are unrelated.

D is wrong: Trade cycles are unrelated.

29. Filing correct tax returns reflects

Answer: D. Integrity towards the government

Why correct: Correct tax returns show integrity towards the government.

A is wrong: Avoidance minimises tax legally.

B is wrong: Evasion is illegal.

C is wrong: It does not mean loss of profit.

30. Virtue ethics, associated with Aristotle, focuses on

Answer: B. Character and moral virtues

Why correct: Virtue ethics focuses on character and moral virtues.

A is wrong: Consequences are utilitarian.

C is wrong: Rules are deontological.

D is wrong: Profit is not a virtue theory.

31. Which ethical principles were most directly violated?

Answer: D. Honesty and transparency

Why correct: Falsifying accounts violates honesty and transparency.

A is wrong: The environment is not the issue.

B is wrong: Community engagement is not the issue.

C is wrong: Consumer education is not the issue.

32. Paying suppliers on agreed terms and on time reflects

Answer: A. Integrity in business dealings

Why correct: Paying suppliers on agreed terms and time shows integrity.

B is wrong: Tax evasion is illegal.

C is wrong: Price cutting is pricing.

D is wrong: Late payment is poor, not good, practice.

33. In a traditional economy, economic decisions are guided mainly by

Answer: A. Customs and traditions

Why correct: A traditional economy follows customs and traditions.

B is wrong: Market prices drive market economies.

C is wrong: Central planning drives command economies.

D is wrong: Foreign trade is not the guide.

34. The best remedy suggested by the review would be:

Answer: D. A transparent pay policy and revision of salaries

Why correct: A transparent pay policy and salary revision remove the discrimination.

A is wrong: Hiding data hides the problem.

B is wrong: Dismissing the complainant is retaliation.

C is wrong: Ignoring the complaint changes nothing.

35. Minority shareholders should be treated

Answer: D. Equitably along with majority shareholders

Why correct: Minority shareholders must be treated equitably.

A is wrong: They do have rights.

B is wrong: They are not second class.

C is wrong: They are shareholders.

36. Online shopping platforms in India are governed by the

Answer: C. Consumer Protection (E-Commerce) Rules, 2020

Why correct: E-commerce platforms are governed by the Consumer Protection (E-Commerce) Rules, 2020.

A is wrong: Factories Act is irrelevant.

B is wrong: Sale of Goods Act is general.

D is wrong: Payment of Wages Act is irrelevant.

37. Offering subsidised land and a tax holiday reflects the government's role as a:

Answer: B. Promoter

Why correct: Subsidised land and tax holidays encourage industry - promoter role.

A is wrong: A regulator makes rules.

C is wrong: An auditor checks accounts.

D is wrong: A consumer buys.

38. Climate, natural resources and pollution come under the

Answer: C. Natural environment

Why correct: Climate, resources and pollution are natural environment.

A is wrong: Economic is money-related.

B is wrong: Legal is laws.

D is wrong: Cultural is values.

39. The Chipko movement was associated with

Answer: D. Protection of trees and forests

Why correct: The Chipko movement was about protecting trees and forests.

A is wrong: It was not about water rights.

B is wrong: It was not about poaching.

C is wrong: It was not an industrial strike.

40. The right to choose means

Answer: C. Access to a variety of goods and services at competitive prices

Why correct: Right to choose means access to a variety of goods at competitive prices.

A is wrong: Forced buying is the opposite.

B is wrong: Only government products is not it.

D is wrong: No competition is the opposite.

41. J&J's 1982 recall of Tylenol after tampering deaths is a classic example of

Answer: D. Putting ethical values above short-term profit

Why correct: Recalling Tylenol put public safety above short-term profit.

A is wrong: It protected, not ignored, public safety.

B is wrong: It is not price cutting.

C is wrong: It is not tax avoidance.

42. Which of the following is NOT a feature of business environment?

Answer: A. It is static and never changes

Why correct: Business environment is dynamic, so saying it never changes is false.

B is wrong: It is complex - true.

C is wrong: It is dynamic - true.

D is wrong: It is relative - true.

43. In SWOT analysis, the letter 'O' stands for

Answer: D. Opportunities

Why correct: In SWOT, O stands for Opportunities.

A is wrong: Objectives is not the O in SWOT.

B is wrong: Operations is not the O in SWOT.

C is wrong: Outputs is not the O in SWOT.

44. Which of the following is a political factor?

Answer: D. Political stability and foreign policy

Why correct: Political stability and foreign policy are political factors.

A is wrong: Inflation is economic.

B is wrong: Fashion trends are social.

C is wrong: Automation is technological.

45. FEMA, compared with FERA, is:

Answer: A. More liberal and aimed at facilitating external trade and payments

Why correct: FEMA is more liberal and aims to facilitate external trade and payments.

B is wrong: It is less restrictive than FERA.

C is wrong: It is not about domestic taxes.

D is wrong: It is not a labour law.

46. The slow growth rate of about 3.5% in India before the 1980s is popularly called the

Answer: D. Hindu rate of growth

Why correct: The slow ~3.5% growth is called the 'Hindu rate of growth'.

A is wrong: It is not called golden.

B is wrong: Solow is a growth theory.

C is wrong: It is not called the planning rate.

47. The New Industrial Policy of 1991:

Answer: B. Abolished industrial licensing for most industries

Why correct: The 1991 policy abolished licensing for most industries.

A is wrong: It reduced licensing.

C is wrong: It welcomed foreign investment.

D is wrong: It did not nationalise banks.

48. The CSR Committee of the Board must have at least

Answer: C. Three directors

Why correct: The CSR Committee must have at least three directors.

A is wrong: Five is more than needed.

B is wrong: Seven is more than needed.

D is wrong: Two is too few.

49. Equity differs from equality in that equity means

Answer: B. Giving each what is fair according to need or contribution

Why correct: Equity gives each what is fair by need or contribution; equality gives all the same.

A is wrong: That describes equality.

C is wrong: A uniform price is not equity.

D is wrong: Profit is not equity.

50. Hoarding and black marketing of essential goods is regulated in India by the

Answer: D. Essential Commodities Act, 1955

Why correct: The Essential Commodities Act, 1955 controls hoarding and black marketing.

A is wrong: The Companies Act governs companies.

B is wrong: FEMA governs foreign exchange.

C is wrong: The Factories Act governs factories.